Executive Summary

Product Line Profitability & Margin Performance Analysis

Nassau Candy Distributor | Fiscal Year 2025

Business Context

Nassau Candy Distributor generated **$141,784 in total revenue** and **$93,443 in gross profit** across 15 products, 3 divisions, and 4 regions in 2025. While overall gross margin stands at a healthy **65.91%**, this analysis reveals critical concentration risks, underperforming assets, and untapped growth opportunities that require immediate strategic attention.

Key Findings

1. **The Chocolate Division Carries the Entire Business** The Chocolate division accounts for **92.9% of total revenue** and **95.1% of total gross profit**. The remaining two divisions — Other (6.8%) and Sugar (0.3%) — contribute negligibly. This level of concentration means any disruption to Chocolate product lines directly threatens the company's financial stability.
2. **Five Products Generate 95% of All Profit** All five Wonka Bar variants collectively deliver **$88,825 in gross profit — 95.1% of the total**, led by Wonka Bar Scrumdiddlyumptious at **$19,358 (20.7%)**. The remaining 10 products combined contribute less than **5% of profit**, raising serious questions about portfolio efficiency and resource allocation.
3. **The Other Factory is a Critical Cost Risk** Factory-level analysis reveals a **58.7 percentage point margin gap** between the best and worst performing factories. The Other Factory (Tennessee) operates at just **10.5% gross margin** compared to the company average of 65.9%. Its two products — Kazookles and Hair Toffee — are effectively margin destroyers and require immediate cost renegotiation or discontinuation review.
4. **Q4 Drives Disproportionate Revenue — A Seasonality Risk** Q4 revenue of **$54,043 represents 38.1% of annual revenue**, nearly triple Q1's $19,079. This **183% Q1-to-Q4 growth** indicates heavy seasonal dependency on holiday demand. Without strategies to strengthen Q1 and Q2 performance, the business remains vulnerable to off-season revenue gaps.
5. **Hidden Gems Exist but Remain Underscaled** Three products — Everlasting Gobstopper (80.0% margin), Hair Toffee (77.8%), and Laffy Taffy (62.3%) — deliver above-average margins but generate negligible revenue due to limited scale. These represent the highest-margin opportunities in the portfolio and warrant targeted investment in distribution and marketing.
6. **Regional Margins are Consistent — Volume is the Only Differentiator** All four regions operate within a **0.66 percentage point margin band** (66.21% to 66.87%), confirming centrally controlled pricing across the network. The Pacific region leads in profit at **$30,486 (32.6% share)**, followed by Atlantic at **$26,974**. Revenue growth must therefore be pursued through volume expansion, not pricing adjustments.

Strategic Recommendations

Priority	Recommendation	Expected Impact
🔴 Critical	Investigate and restructure The Other Factory's cost base	Margin recovery on 2 products
🔴 Critical	Diversify beyond Chocolate — develop Sugar and Other divisions	Reduce concentration risk
🟡 High	Scale distribution of Everlasting Gobstopper and Hair Toffee	Unlock 77-80% margin products
🟡 High	Build Q1 and Q2 promotional strategy to reduce seasonality gap	Smooth annual revenue curve
🟢 Medium	Conduct discontinuation review on bottom 5 margin products	Free up operational resources

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Conclusion

Nassau Candy Distributor is a financially healthy business with strong margins, but it operates with dangerous concentration — in one division, five products, one factory cost structure, and one seasonal quarter. The path to sustainable growth requires portfolio diversification, factory cost reform, and deliberate investment in the company's highest-margin underdogs.

Analysis conducted on 10,194 order records | Data period: January – December 2025 Prepared by: Data Analysis Team